SUPERVISOR TO ATTACH
PROCESSING LABEL HERE

Write your **student number** in the boxes above. **Letter**

Business Management

Question and Answer Book

VCE Examination – Thursday 6 November 2025

- Reading time is **15 minutes**: 3.00 pm to 3.15 pm
- Writing time is **2 hours**: 3.15 pm to 5.15 pm

Materials supplied

- Question and Answer Book of 24 pages

Instructions

- Use the additional space at the end of this book if you need extra space to complete an answer.

Students are **not** permitted to bring mobile phones and/or any unauthorised electronic devices into the examination room.

Contents

pages

Section A (5 questions, 50 marks) 2–13
Section B (6 questions, 25 marks) 14–20

© VCAA 2025

VICTORIAN CURRICULUM AND ASSESSMENT AUTHORITY

VICTORIA State Government

Section A

Instructions

- Answer **all** questions in the spaces provided.
- Write your responses in English.

Question 1 (9 marks)

Doggy Dugout is a small pet supply business specialising in the sale of pet accessories such as collars and food bowls. The business operates in a highly competitive market. The owners of Doggy Dugout have decided to sell the business to a larger company. They are looking forward to beginning their retirement as soon as possible. Many of their employees are worried that the change of ownership will lead to redundancies.

a. Outline **one** difference between retirement and redundancy as forms of termination. 2 marks

Do not write in this area.

b. Describe **one** driving force that led to the change at Doggy Dugout. 3 marks

Do not write in this area.

Question 1 continues on the next page.

c. Explain **one** advantage and **one** disadvantage of using high-risk strategies to overcome employee resistance to change. 4 marks

Do not write in this area.

Question 2 (12 marks)

Perfecto Pilates offers pilates and yoga classes with a team of experienced and qualified instructors. Sam, the manager, uses a persuasive management style. Six months ago, Sam implemented a new roster for staff, reducing hours of work for most instructors. At a staff meeting, Sam explained the benefits of the change for the business. The employees were disappointed with the decision and it led to a lengthy dispute. The dispute was settled at the Fair Work Commission. The corporate culture at Perfecto Pilates has been negatively affected by the dispute.

a. Describe how Sam has used the management skill of decision-making at Perfecto Pilates. 3 marks

Question 2 continues on the next page.

Do not write in this area.

b. Describe **one** dispute resolution process that could have been used at Perfecto Pilates. 3 marks

c. Propose and justify **one** strategy that could be implemented at Perfecto Pilates to develop a positive corporate culture. 3 marks

Do not write in this area.

d. Explain the importance of corporate social responsibility considerations when implementing change. 3 marks

Do not write in this area.

Question 3 (6 marks)

Analyse the importance of leadership in change management. In your response, refer to at least **one** contemporary business case study.

Do not write in this area.

Question 4 (13 marks)

Ready VEG Meals manufactures a range of vegetarian and vegan meals, which it sells directly to the public. The business has received some negative customer reviews about the quality of its meals. A recent review of Ready VEG Meals's performance by senior management has revealed a concerning increase in the level of wastage. The managers are considering implementing a number of changes, including Total Quality Management and performance-related pay.

a. Explain why an increase in the level of wastage would be of concern to Ready VEG Meals. 3 marks

Question 4 continues on the next page.

Do not write in this area.

b. Explain how Total Quality Management could be used at Ready VEG Meals to reduce the number of negative customer reviews. 4 marks

Do not write in this area.

c. Discuss how performance-related pay could be used as a motivation strategy at Ready VEG Meals. 6 marks

Do not write in this area.

Question 5 (10 marks)

'Businesses must consider how to effectively and efficiently produce a final good or service in a competitive, global environment.'

With reference to the statement above, examine how businesses could operate effectively and efficiently by using each of the following global considerations:

- global sourcing of inputs
- overseas manufacture
- global outsourcing.

Do not write in this area.

Do not write in this area.

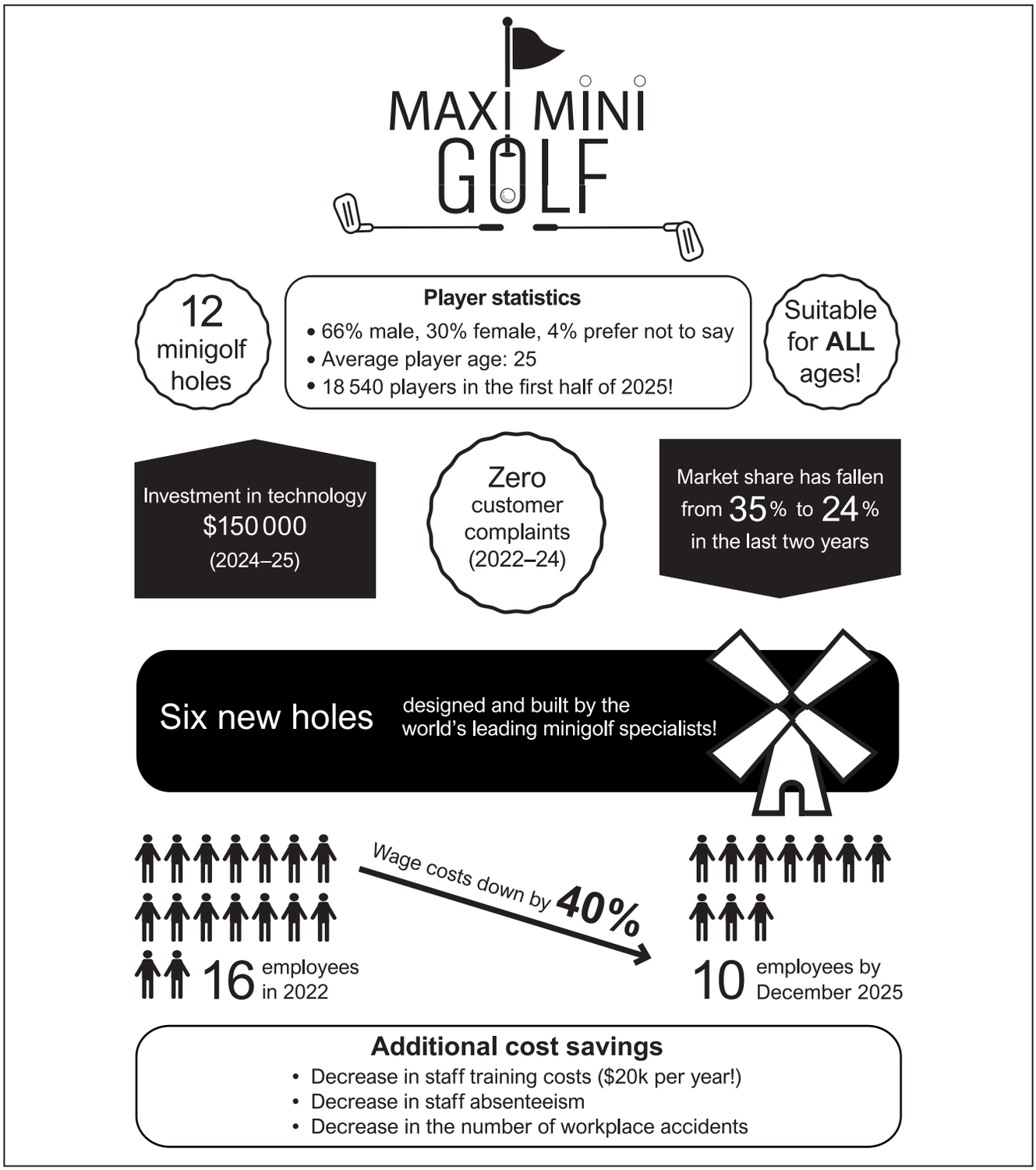
End of Section A

Section B – Case study

Instructions

- Use the case study provided to answer the questions in this section. Answers must apply to the case study.
- Answer **all** questions in the spaces provided.
- Write your responses in English.

Case study



Do not write in this area.

Maxi Mini Golf is one of three minigolf courses operating in the Melbourne suburb of Williamstown. The manager, Norma Griggs, has noticed that staffing costs have increased significantly in the last three years. This has inspired her to rethink the way she manages Maxi Mini Golf.

After seeking input from her staff, Norma has decided that by the end of 2025, the business will make the following changes:

- Two automated pay stations will be installed.
- Golf clubs will be left on the course for customers to find and use when they arrive.
- Golf balls will be provided by an automated machine when customers pay.
- Six new holes will be designed and installed by an expert team.
- Fewer staff will be rostered to work during opening hours.

Norma realises that this will be expensive in the short term, but she is confident that it will help to increase the net profit of her business in the long term.

Question 1 (2 marks)

Identify evidence from the case study that shows that Norma Griggs is using a reactive approach to change.

Do not write in this area.

Question 2 (3 marks)

Inputs, processes and outputs are the key elements of an operations system.

Distinguish between the processes of a manufacturing business and the processes at Maxi Mini Golf, a service business.

Do not write in this area.

Question 3 (4 marks)

Describe how Norma Griggs could use Locke and Latham's Goal Setting Theory to motivate the employees who remain at Maxi Mini Golf at the end of 2025.

Do not write in this area.

Question 4 (4 marks)

Describe the way in which the principles of Senge's Learning Organisation could support the process of change at Maxi Mini Golf.

Do not write in this area.

Question 5 (6 marks)

Norma Griggs uses a consultative management style. Evaluate this management style given the nature of the tasks that need to be completed at Maxi Mini Golf by the end of 2025.

Do not write in this area.

Question 6 (6 marks)

Explain how Norma Griggs could have applied the key principles of Lewin's Force Field Analysis theory before deciding to have six new golf holes designed and installed.

End of examination questions

Do not write in this area.

Extra space for responses

Clearly **number** all responses in this space.

Do not write in this area.

Do not write in this area.

Do not write in this area.

If you use any additional Question and Answer Books to complete your responses, write your **student number** on the front cover. At the end of the examination, place the additional Question and Answer Books inside the front cover of the first Question and Answer Book.

© Victorian Curriculum and Assessment Authority 2025